DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

Company Registration No. 11761052 (England and Wales)

FOOTBALL VENTURES (WHITES) LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020

TUESDAY
AA7PØUG9
A23 29/06/2021 #70
COMPANIES HOUSE

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

COMPANY INFORMATION

Directors	Ms S Brittan Mr M James Mr N C Luckock	 (Appointed 22 April 2021)
Company number	11761052	
Registered office	University of Bolton Stadium Burnden Way Lostock Bolton BL6 6JW	
Auditor	Cowgill Holloway LLP Regency House 45-53 Chorley New Road Bolton BL1 4QR	
Bankers	Barclays Bank Plc The Business Centre PO Box 144 57 Victoria Square Bolton BL1 1FH	

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

CONTENTS

	Page
Strategic report	1 - 2
Directors' report	3 - 4
Independent auditor's report	5 - 7
Profit and loss account	8
Group statement of comprehensive income	9
Group balance sheet	10
Company balance sheet	11
Group statement of changes in equity	12
Company statement of changes in equity	13
Group statement of cash flows	14
Company statement of cash flows	15
Notes to the financial statements	16 - 34

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present the strategic report for the year ended 30 June 2020.

Fair review of the business
Objective

The objective of the Football Ventures Group is to successfully operate a professional football club and hotel and conference center.

Strategy

The Directors' objectives are to consolidate the football clubs position within the EFL and pursue promotion whilst stabilising the business. Furthermore, the Directors' strategy is to improve the hotel operations and the experience of our guests to the hotel and stadium whilst improving the trading performance of the Group.

The strategy to achieve the objectives of the football club includes the following key elements:

- The selection and appointment of an effective football management team;
- Identifying talented players and securing these players on contracts within financial parameters;
- To develop young players through the club's academy system; and
- Increasing the Group's turnover by attracting new supporters and commercial partners and finding innovative ways to utilise the assets of the Group.

Principal risks and uncertainties
The Board acknowledges the risks and uncertainties that affect the Group and seek to minimise these wherever possible.

Risks and uncertainties for the football club arise primarily from the uncertainty of success on the football pitch. These and other risks are recognised and reviewed regularly through the Group's management and planning processes and managed appropriately.

For the hotel business, risks and uncertainties arise principally out of increasing competition, both locally and regionally, and in particular with regards to conference and banqueting facilities. These and other risks are recognised and reviewed regularly through the Group's management and planning processes and managed appropriately.

In common with many UK businesses, particularly those in the hospitality sector, the ongoing potential effect of the COVID-19 pandemic and resultant UK government intervention is an exceptional uncertainty facing the Group at the time of signing these accounts. Given the financial strength of the shareholder base, their intentions, and continuing support from creditors, there are many options open to the Group and its shareholders for addressing and reducing the Group's debt in a timely manner over the interim period.

Development and performance
This is the first year of trading for the Group as the trading subsidiaries of Football Ventures (Whites) purchased the assets of the business from the respective administrators of those businesses.

The first years trading for both businesses has been difficult. The football club started the league season with a twelve point deduction and was left with very little time at the end of the summer transfer window to construct a competitive first team squad.

The financial difficulties and subsequent entering of administration for the previous owner of the hotel property led to a difficult start to trading for FVWL Hotel Limited. However, the hotel was trading profitably before the disruption caused by the COVID-19 global pandemic.

The Group loss after tax for the period ended 30 June 2020 was £3.85m. The Directors monitor performance through production of a detailed annual budget and the comparison of actual performance against budget.

FOOTBALL VENTURES (WHITES) LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

Key performance indicators
The Directors monitor key performance indicators to ensure they are within acceptable parameters.

They include for the football club:

- Season ticket sales
- Attendance levels
- Revenue
- Staff costs
- Cash lost on operating activities

They include for the hotel:

- Room rate and occupancy
- The ratio of key costs to income
- Hotel operating profit
- Cash generated from operating activities

Other information and explanations
Position at year end

Despite the loss during the year to 30 June 2020, the Group has a sound financial base from which to further improve the business. The Group is reliant on funding from its shareholders and such funding has been and continues to be made available from the shareholders when required. As at the balance sheet date the Group held cash balances of over £0.5m

On behalf of the board

DocuSigned by:
8E39E3AE58C54D5...
Ms S Brittan
Director

Date: 29/6/2021 | 12:20 PM BST

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the year ended 30 June 2020.

Principal activities
The principal activity of the company and group is that of a professional football club together with related commercial activities, a stadium incorporating an integrated hotel with accommodation, conference and leisure facilities and an integrated business centre.

Results and dividends
The results for the year are set out on page 8.

No ordinary dividends were paid. The directors do not recommend payment of a further dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Ms S Brittan	
Mr M James	
P Basran	(Resigned 2 July 2019)
Mr J P Thomas	(Resigned 30 July 2019)
Mr N C Luckock	(Appointed 22 April 2021)

Auditor
The auditor, Cowgill Holloway LLP, was appointed during the year and are deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

FOOTBALL VENTURES (WHITES) LIMITED

DIRECTORS' REPORT (CONTINUED)

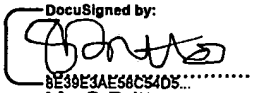
FOR THE YEAR ENDED 30 JUNE 2020

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the auditor of the company is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the auditor of the company is aware of that information.

On behalf of the board

DocuSigned by:



BE39E3AE58C54D5...

Ms S Brittan

Director

Date: 29/6/2021 | 12:20 PM BST

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF FOOTBALL VENTURES (WHITES) LIMITED

Opinion

We have audited the financial statements of Football Ventures (Whites) Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 30 June 2020 which comprise the group profit and loss account, the group statement of comprehensive income, the group balance sheet, the company balance sheet, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows, the company statement of cash flows and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 30 June 2020 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the group's or the parent company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

FOOTBALL VENTURES (WHITES) LIMITED

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBERS OF FOOTBALL VENTURES (WHITES) LIMITED

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

FOOTBALL VENTURES (WHITES) LIMITED

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBERS OF FOOTBALL VENTURES (WHITES) LIMITED

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
CE52511F27C543D...

Stuart Stead (Senior Statutory Auditor)
For and on behalf of Cowgill Holloway LLP

29/6/2021 | 12:21 PM BST

Chartered Accountants
Statutory Auditor

Regency House
45-53 Chorley New Road
Bolton
BL1 4QR

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

GROUP PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £
Turnover	3	9,338,622
Cost of sales		(6,525,301)
Gross profit		2,813,321
Administrative expenses		(7,360,655)
Other operating income		1,089,728
Operating loss	4	(3,457,606)
Interest receivable and similar income	7	113
Interest payable and similar expenses	8	(434,278)
Loss before taxation		(3,891,771)
Tax on loss	9	41,315
Loss for the financial year		(3,850,456)

Loss for the financial year is all attributable to the owners of the parent company.

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

GROUP STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2020

	2020 £
Loss for the year	(3,850,456)
Other comprehensive income	-
Total comprehensive income for the year	(3,850,456)

Total comprehensive income for the year is all attributable to the owners of the parent company.

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

GROUP BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020 £	£
Fixed assets			
Goodwill	10		5,441,642
Other intangible assets	10		9,842,359
Total intangible assets			15,284,001
Tangible assets	11		12,247,137
			27,531,138
Current assets			
Stocks	14	190,273	
Debtors	15	976,907	
Cash at bank and in hand		560,414	
		1,727,594	
Creditors: amounts falling due within one year	16	(8,519,205)	
Net current liabilities			(6,791,611)
Total assets less current liabilities			20,739,527
Creditors: amounts falling due after more than one year	17		(21,881,298)
Provisions for liabilities			
Deferred tax	19	(41,315)	
			41,315
Net liabilities			(1,100,456)
Capital and reserves			
Called up share capital	21		2,750,000
Profit and loss reserves			(3,850,456)
Total equity			(1,100,456)

The financial statements were approved by the board of directors and authorised for issue on 29/6/2021 | 12:20 PM BS and are signed on its behalf by:

DocuSigned by:

8E28E2AE58C64D5...

Ms S Brittan

Director

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

COMPANY BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020 £	£
Fixed assets			
Investments	**12**		101
Current assets			
Debtors	**15**	6,521,607	
Cash at bank and in hand		325,734	
		6,847,341	
Net current assets			6,847,341
Total assets less current liabilities			6,847,442
Creditors: amounts falling due after more than one year	**17**		(4,597,362)
Net assets			2,250,080
Capital and reserves			
Called up share capital	**21**		2,750,000
Profit and loss reserves			(499,920)
Total equity			2,250,080

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's loss for the year was £499,920.

The financial statements were approved by the board of directors and authorised for issue on 29/6/2021 | 12:20 PM BS and are signed on its behalf by:

DocuSigned by:

8E39E3AE58C54D5...

Ms S Brittan

Director

Company Registration No. 11761052

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	Share capital £	Profit and loss reserves £	Total £
Year ended 30 June 2020:				
Loss and total comprehensive income for the year		-	(3,850,456)	(3,850,456)
Issue of share capital	**21**	2,749,996	-	2,749,996
Share capital brought forward		4	-	4
Balance at 30 June 2020		2,750,000	(3,850,456)	(1,100,456)

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	Share capital £	Profit and loss reserves £	Total £
Year ended 30 June 2020:				
Loss and total comprehensive income for the year		-	(499,920)	(499,920)
Issue of share capital	**21**	2,749,996	-	2,749,996
Share capital brought forward		4	-	4
Balance at 30 June 2020		2,750,000	(499,920)	2,250,080

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

GROUP STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	£
Cash flows from operating activities			
Cash generated from/(absorbed by) operations	**26**		1,644,921
Interest paid			(16,083)
Net cash inflow/(outflow) from operating activities			1,628,838
Investing activities			
Purchase of intangible assets		(8,118,757)	
Purchase of tangible fixed assets and subsidiaries		(118,851)	
Interest received		113	
Net cash used in investing activities			(8,237,495)
Financing activities			
Proceeds from issue of shares		2,000,000	
Proceeds from issue of loan notes		4,500,000	
Proceeds from other borrowings		669,071	
Net cash generated from/(used in) financing activities			7,169,071
Net increase in cash and cash equivalents			560,414
Cash and cash equivalents at beginning of year			-
Cash and cash equivalents at end of year			560,414

DocuSign Envelope ID: 48198E7E-5EA7-4C28-85F4-3CE0C2536E4F

FOOTBALL VENTURES (WHITES) LIMITED

COMPANY STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	£
Cash flows from operating activities			
Cash absorbed by operations	27		(6,174,278)
Net cash outflow from operating activities			(6,174,278)
Investing activities			
Investment in subsidiaries		(101)	
Interest received		113	
Net cash generated from/(used in) investing activities			12
Financing activities			
Proceeds from issue of shares		2,000,000	
Proceeds from issue of loan notes		4,500,000	
Net cash generated from/(used in) financing activities			6,500,000
Net increase in cash and cash equivalents			325,734
Cash and cash equivalents at beginning of year			-
Cash and cash equivalents at end of year			325,734

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies

Company information

Football Ventures (Whites) Limited ("the company") is a private limited company domiciled and incorporated in England and Wales. The registered office is University of Bolton Stadium, Burnden Way, Lostock, Bolton, BL6 6JW.

The group consists of Football Ventures (Whites) Limited and all of its subsidiaries.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Business combinations

In the parent company financial statements, the cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued and liabilities incurred or assumed, plus costs directly attributable to the business combination. The excess of the cost of a business combination over the fair value of the identifiable assets, liabilities and contingent liabilities acquired is recognised as goodwill. The cost of the combination includes the estimated amount of contingent consideration that is probable and can be measured reliably, and is adjusted for changes in contingent consideration after the acquisition date. Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date. Investments in subsidiaries, joint ventures and associates are accounted for at cost less impairment.

1.3 Basis of consolidation

The consolidated group financial statements consist of the financial statements of the parent company Football Ventures (Whites) Limited together with all entities controlled by the parent company (its subsidiaries) and the group's share of its interests in joint ventures and associates.

All financial statements are made up to 30 June 2020. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Subsidiaries are consolidated in the group's financial statements from the date that control commences until the date that control ceases.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

1.4 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the group has adequate resources to continue in operational existence for the foreseeable future. Thus the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

The Group is financed by its shareholders and each shareholder has provided assurances that they will not withdraw amounts introduced into the Group for a minimum period of twelve months following the signing of these accounts and in addition each shareholder has committed to financing any shortfalls in cash as and when they fall due.

1.5 Turnover

Turnover is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business, and is shown net of VAT and other sales related taxes. The fair value of consideration takes into account trade discounts, settlement discounts and volume rebates.

Turnover is recognised for accommodation when the services are provided. Match day and event turnover is recognised when the events take place.

When cash inflows are deferred and represent a financing arrangement, the fair value of the consideration is the present value of the future receipts. The difference between the fair value of the consideration and the nominal amount received is recognised as interest income.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer (usually on dispatch of the goods), the amount of revenue can be measured reliably, it is probable that the economic benefits associated with the transaction will flow to the entity and the costs incurred or to be incurred in respect of the transaction can be measured reliably.

1.6 Intangible fixed assets - goodwill

Goodwill represents the excess of the cost of acquisition of a business over the fair value of net assets acquired. It is initially recognised as an asset at cost and is subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 10 years.

For the purposes of impairment testing, goodwill is allocated to the cash-generating units expected to benefit from the acquisition. Cash-generating units to which goodwill has been allocated are tested for impairment at least annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

1.7 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

In accordance with FRS102 "Goodwill and Intangible Assets", fees payable on the transfer of players' registrations are capitalised at cost and written off over the length of the players' contracts. Profit or loss on the sale of players' registrations is based on transfer fees receivable and amortised cost of the players and is recognised in the period in which the transfers are made. Players' registrations are written down for impairment when the carrying amount exceeds the amount recoverable through use or sale. Future payments for the acquisition of a player's registration, which may become due dependent on the performance of the team and/or the individual player, are recognised within the original cost of acquisition if, in the opinion of the Directors, it is probable that these payments will eventually be made. Similar terms may exist in contracts for the sale of players' registrations but such payments are not recognised as part of the proceeds of disposal until the event upon which the payment is dependent is known to have occurred. Provision is made for any impairment.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Intellectual property	50 years
Player transfer and agent fees	Over the term of the respective contract

1.8 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Stadium and academy	Over 50 years from the original date of construction
Freehold land and buildings	No depreciation is provided
Plant and equipment	3 to 10 years from original date of aquisition
Fixtures and fittings	3 to 10 years from original date of aquisition
Computers	3 to 10 years from original date of aquisition

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the profit and loss account.

1.9 Fixed asset investments

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

1.10 Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset. Any goodwill included in the carrying amount of the investment is not tested separately for impairment.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.11 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Stocks held for distribution at no or nominal consideration are measured at the lower of cost and replacement cost, adjusted where applicable for any loss of service potential.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.12 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

1.13 Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's balance sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

1.14 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

1.15 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset if, and only if, there is a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.16 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.17 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies **(Continued)**

1.18 Leases

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

1.19 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Depreciation of fixed assets

Fixed assets are depreciated over their anticipated useful life. The useful life is based on management's estimate of the period that the assets will generate revenue and will be reviewed annually for continued appropriateness. The carrying values will be tested for impairment where there is an indication that the value of an asset might be impaired.

Intangible fixed assets

Intangible fixed assets are amortised over their anticipated useful life. The useful life is based on management's estimate of the period that the assets will generate revenue and will be reviewed annually for continued appropriateness. The carrying values will be tested for impairment where there is an indication that the value of an asset might be impaired.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

3 Turnover and other revenue

	2020 £
Turnover analysed by class of business	
Professional Football	4,248,234
Food and beverage	1,677,048
Accommodation and leisure	1,275,218
Academy Income	793,535
Commercial	433,794
Retail	422,512
Corporate Sales	332,532
Communications	95,661
Car Parking	60,088
	9,338,622

	2020 £
Other significant revenue	
Interest income	113
Government grants received	1,005,081

	2020 £
Turnover analysed by geographical market	
United Kingdom	9,338,622

4 Operating loss

	2020 £
Operating loss for the year is stated after charging/(crediting):	
Government grants	(1,005,081)
Depreciation of owned tangible fixed assets	286,529
Amortisation of intangible assets	714,161
Operating lease charges	12,491

5 Auditor's remuneration

	2020 £
Fees payable to the company's auditor and associates:	
For audit services	
Audit of the financial statements of the group and company	-
Audit of the financial statements of the company's subsidiaries	42,500

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

6 Employees

The average monthly number of persons (including directors) employed by the group and company during the year was:

	Group 2020 Number	Company 2020 Number
Management, Administration & Football Players	162	-
Hotel Staff	72	-
Total	234	-

Their aggregate remuneration comprised:

	Group 2020 £	Company 2020 £
Wages and salaries	6,754,547	-
Social security costs	548,056	-
Pension costs	130,472	-
	7,433,075	-

Directors remuneration amounted to £Nil.

7 Interest receivable and similar income

	2020 £
Interest income	
Interest on bank deposits	113

8 Interest payable and similar expenses

	2020 £
Interest on financial liabilities measured at amortised cost:	
Interest on bank overdrafts and loans	113,445
Other interest on financial liabilities	320,833
	434,278

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

9 Taxation

	2020 £
Deferred tax	
Origination and reversal of timing differences	(41,315)

The actual (credit)/charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2020 £
Loss before taxation	(3,891,771)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00%	(739,436)
Tax effect of expenses that are not deductible in determining taxable profit	99,939
Unutilised tax losses carried forward	593,609
Permanent capital allowances in excess of depreciation	(192,076)
Amortisation on assets not qualifying for tax allowances	135,691
Adjustments in respect of financial assets	60,958
Taxation credit	(41,315)

10 Intangible fixed assets

Group	Goodwill	Intellectual property	Player transfer and agent fees	Total
	£	£	£	£
Cost				
At 1 July 2019	-	-	-	-
Additions	5,936,337	10,000,001	61,824	15,998,162
At 30 June 2020	5,936,337	10,000,001	61,824	15,998,162
Amortisation and impairment				
At 1 July 2019	-	-	-	-
Amortisation charged for the year	494,695	166,677	52,789	714,161
At 30 June 2020	494,695	166,677	52,789	714,161
Carrying amount				
At 30 June 2020	5,441,642	9,833,324	9,035	15,284,001

The company had no intangible fixed assets at 30 June 2020.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

11 Tangible fixed assets

Group	Stadium and academy	Freehold land and buildings	Plant and equipment	Fixtures and fittings	Computers	Total
	£	£	£	£	£	£
Cost						
At 1 July 2019	-	-	-	-	-	-
Additions	3,003,195	8,000,654	985,266	527,699	16,852	12,533,666
At 30 June 2020	3,003,195	8,000,654	985,266	527,699	16,852	12,533,666
Depreciation and impairment						
At 1 July 2019	-	-	-	-	-	-
Depreciation charged in the year	72,354	24,806	112,327	74,037	3,005	286,529
At 30 June 2020	72,354	24,806	112,327	74,037	3,005	286,529
Carrying amount						
At 30 June 2020	2,930,841	7,975,848	872,939	453,662	13,847	12,247,137

The company had no tangible fixed assets at 30 June 2020.

12 Fixed asset investments

	Notes	Group 2020	Company 2020
		£	£
Investments in subsidiaries	13	-	101

Movements in fixed asset investments

Company	Shares in subsidiaries
	£
Cost or valuation	
At 1 July 2019	-
Additions	101
At 30 June 2020	101
Carrying amount	
At 30 June 2020	101

13 Subsidiaries

Details of the company's subsidiaries at 30 June 2020 are as follows:

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

13 Subsidiaries (Continued)

Name of undertaking	Registered office	Class of shares held	% Held Direct	% Held Indirect
Bolton Sports Village Limited	United Kingdom	Ordinary	-	100.00
Bolton Sporting Ventures Limited	United Kingdom	Ordinary	-	100.00
The Bolton Wanderers Football & Athletic Company Limited	United Kingdom	Ordinary	-	100.00
FVWL Football Limited	United Kingdom	Ordinary	100.00	-
FVWL Hotel Limited	United Kingdom	Ordinary	100.00	-

The aggregate capital and reserves and the result for the year of the subsidiaries noted above was as follows:

Name of undertaking	Capital and Reserves	Profit/(Loss)
	£	£
Bolton Sports Village Limited	2	-
Bolton Sporting Ventures Limited	1	-
The Bolton Wanderers Football & Athletic Company Limited	1	-
FVWL Football Limited	(2,813,096)	(2,813,196)
FVWL Hotel Limited	(537,339)	(537,340)

14 Stocks

	Group 2020	Company 2020
	£	£
Finished goods and goods for resale	190,273	-

15 Debtors

Amounts falling due within one year:	Group 2020	Company 2020
	£	£
Trade debtors	451,501	-
Amounts owed by group undertakings	-	6,271,607
Other debtors	366,574	250,000
Prepayments and accrued income	158,832	-
	976,907	6,521,607

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

16 Creditors: amounts falling due within one year

	Group 2020 £	Company 2020 £
Other borrowings	225,090	-
Trade creditors	1,569,220	-
Other taxation and social security	1,048,557	-
Deferred income	668,478	-
Other creditors	3,716,806	-
Accruals and deferred income	1,291,054	-
	8,519,205	-

17 Creditors: amounts falling due after more than one year

	Group 2020 £	Company 2020 £
Loan notes	4,597,362	4,597,362
Other borrowings	541,343	-
Other creditors	16,679,259	-
Accruals and deferred income	63,334	-
	21,881,298	4,597,362

The loan notes attract a 4% fixed rate of interest and are repayable on 27 August 2022. Interest relating to the loan notes has been accrued within the company and is recharged to FVWL Football Limited, a wholly owned subsidiary. The loan notes are secured by way of a debenture.

Other borrowings are unsecured and attract interest at a rate of 5% per annum.

Included within other creditors are three loans, which amount to £6,803,258, £5,500,000 and £2,500,000 respectively. Each loan is secured against the tangible fixed assets owned by the Group and all loans are due for repayment or before 1 August 2022. The loan amounting to £6,803,258 attracts an interest rate of 7% per annum on the original capital element of £5,500,000 as per the original agreement dated 29 January 2016 with Bolton Whites Hotel Limited, which was novated under the administration.

Details relating to further developments after the reporting date in relation to the £5,500,000 loan are detailed within note 23.

18 Contingent asset

Other loans amounting to £6,803,258 are due for repayment on or before 1 August 2022, in the event that the loan is repaid by this date or in the event of a sale or a change of control the liability reduces to £5,500,000, which amounts to the original capital. Interest amounting to £1,303,258 as at 30 June 2020 would be waived by Prescot Business Park Limited in the event of the loan being paid within the stipulated timeframe.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

19 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the group and company, and movements thereon:

Group	Liabilities 2020 £
Accelerated capital allowances	136,075
Tax losses	(177,390)
	(41,315)

The company has no deferred tax assets or liabilities.

Movements in the year:	Group 2020 £	Company 2020 £
Asset at 1 July 2019	-	-
Credit to profit or loss	(41,315)	-
Asset at 30 June 2020	(41,315)	-

20 Retirement benefit schemes

Defined contribution schemes	2020 £
Charge to profit or loss in respect of defined contribution schemes	130,472

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

21 Share capital

Ordinary share capital	2020 Number	2020 £
Issued		
Ordinary A of £1 each	2,750,000	2,750,000

On 30 June 2020, 500,000 unpaid £1 A Ordinary shares were surrendered back to the company resulting in the equivalent sum being discharged. In addition, at the reporting date 250,000 £1 A Ordinary shares were unpaid and on 17 August 2020 these shares were also surrendered back to the company.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

22 Operating lease commitments

Lessee

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group 2020 £	Company 2020 £
Within one year	21,038	-
Between two and five years	18,770	-
	39,808	-

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

23 Events after the reporting date

The following material events took place after the reporting date:

COVID 19

At the time of filing, we are faced with the Coronavirus (COVID19). Whilst no one can predict the extent of the impact this will have, the Directors are taking extensive steps to protect against the worst effects. This includes eliminating unnecessary meetings and travel, preparations in case employees are recommended to self-isolate, implementing improved hygiene processes and protecting the company's liquidity. A bounceback loan under the governmental support scheme amounting to £50,000 was secured within FVWL Hotel Limited after the reporting date, this loan is unsecured. The Directors are monitoring the situation daily and is in continuing close liaison with both its trading partners and its employees.

Other creditors

On 28 August 2019 the Group assumed a £5.5m loan facility as part of the takeover of the assets and continuing business of Bolton Wanderers Football and Athletic Company Limited (in administration). This balance was held within other creditors at the reporting date and on 29 September 2020 £2.75 million of this loan was repaid. The agreement was further amended so that future repayments are only required on the achievement of promotion of the football club. The security held was released as part of this agreement. On 8 May 2021 the football club achieved promotion to EFL League 1. As a result a contingent liability relating to this loan amounting to £250,000 crystalised and is due for payment at the end of August 2021.

After the balance sheet date the Group negotiated a rescheduling of repayments with a creditor taken on as part of the acquisition of the assets and continuing business. The impact of this rescheduling of repayment is for £0.1m held within creditors due within one year as at the reporting date being due within more than one year.

Convertible Loan Agreement

On 28 August 2020 Football Ventures (Whites) Limited entered into a £5 million convertible loan agreement. The lenders who are party to the convertible loan agreement are members of the shareholder consortia and UK FF Nominees Limited. This scheme aims to support companies during the Coronavirus (COVID19) outbreak. The maturity date of the loan is 36 months from the date of agreement and the agreement attracts an interest rate of 8%. The convertible loan agreement is unsecured. The loan amount plus any accrued interest will convert into shares in the company in several different scenarios, one of which is on the maturity date if the loan is not repaid.

Share surrender

On 17th August 2020, a shareholder surrendered 250,000 unpaid shares to the Group. Those shares, along with 500,000 unpaid shares surrendered on 30 June 2020, have not been cancelled and are held by the Group.

Unsecured Shareholder Loan Facility

In February 2021 the shareholders agreed to make available to the Group an unsecured loan facility of £3 million. The repayment date of this agreement is the date falling six months after the earlier of the Redemption Date and the Conversion Date of the Convertible Loan Agreement. The unsecured shareholder loan facility attracts an interest rate of 7.5%. No interest is repayable until the repayment date.

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

24 Related party transactions

The Group has taken advantage of the exemption conferred by FRS 102 not to disclose transactions with wholly owned members of the Group.

Bolton Wanderers Development Association (Chorley) donated £78,398 to the Group as contribution to the cost of projects completed by the company. As at the reporting date the Group was owed £62,557 by Bolton Wanderers Development Association (Chorley) Limited. Bolton Wanderers Development Association (Chorley) Limited is a company limited by guarantee with FVWL Football Limited being guarantor.

During the year the Group recharged utilities costs to James Industrial Limited Retirement Benefit Scheme of £115,324. As at the reporting date £37,136 was outstanding. James Industrial Limited Retirement Benefit Scheme is related through common ownership.

Other loans amounting to £6,803,258 as at 30 June 2020 were provided by Prescot Business Park Limited. Michael James, a Director is also a director of Prescot Business Park Limited. The terms of the loan are set out within note 17.

Prescot Business Park Limited, charged the Group £50,000 during the year for the lease of the north stand car parks. As at the reporting date, £50,000 was outstanding and owing to Prescot Business Park Limited.

During the year the Group purchased meeting space from Business Club Limited, to the value of £3,619. The Group is related through common directorship. As at the reporting date £Nil was owed to Business Club Limited.

The Group sold hospitality services to a Director to the value of £2,566. As at the reporting date £2,540 was due in relation to the transaction.

25 Controlling party

There is no one ultimate controlling party.

26 Cash generated from/(absorbed by) group operations

	2020 £
Loss for the year after tax	(3,850,456)
Adjustments for:	
Taxation credited	(41,315)
Finance costs	(16,083)
Investment income	(113)
Amortisation and impairment of intangible assets	714,161
Depreciation and impairment of tangible fixed assets	286,529
Movements in working capital:	
Increase in stocks	(190,273)
Increase in debtors	(976,907)
Increase in creditors	5,050,900
Increase in deferred income	668,478
Cash generated from/(absorbed by) operations	1,644,921

FOOTBALL VENTURES (WHITES) LIMITED

NOTES TO THE GROUP FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

27 Cash absorbed by operations - company

	2020 £
Loss for the year after tax	(499,920)
Adjustments for:	
Investment income	(113)
Movements in working capital:	
Net movement in debtors and creditors	(5,674,245)
Cash absorbed by operations	(6,174,278)

28 Analysis of changes in net debt - group

	1 July 2019 £	Cash flows £	30 June 2020 £
Cash at bank and in hand	-	560,414	560,414
Borrowings excluding overdrafts	-	(669,071)	(669,071)
Loan notes	-	(4,500,000)	(4,500,000)
	-	(4,608,657)	(4,608,657)

29 Analysis of changes in net debt - company

	1 July 2019 £	Cash flows £	30 June 2020 £
Cash at bank and in hand	-	325,734	325,734
Loan notes	-	(4,500,000)	(4,500,000)
	-	(4,174,266)	(4,174,266)